



NSW Education Standards Authority

2022 HIGHER SCHOOL CERTIFICATE EXAMINATION

Economics

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 100

Section I – 20 marks (pages 2–8)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II – 40 marks (pages 9–20)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks (pages 21–23)

- Attempt either Question 25 or Question 26
- Allow about 35 minutes for this section

Section IV – 20 marks (page 24)

- Attempt either Question 27 or Question 28
- Allow about 35 minutes for this section

Section I

20 marks

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1–20.

- 1** Which of the following is responsible for the promotion of global financial stability?
- A. World Bank
 - B. United Nations
 - C. International Monetary Fund
 - D. Organisation for Economic Cooperation and Development
- 2** A jobless person has now stopped looking for work due to the lack of suitable job vacancies.

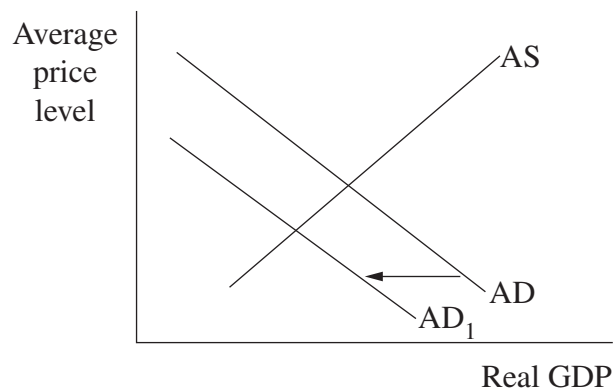
Which row of the table shows how this person would now be counted in official labour force data?

	<i>Unemployed</i>	<i>In the labour force</i>
A.	No	No
B.	No	Yes
C.	Yes	No
D.	Yes	Yes

- 3** Which of the following will NOT contribute to the process of globalisation?
- A. Increase in international migration
 - B. Increase in international financial flows
 - C. Trade policies which are less protectionist
 - D. Decrease in significance of transnational corporations

- 4 Full employment is said to occur when the unemployment rate is
- A. equal to zero.
 - B. low and unemployment is only cyclical.
 - C. low and unemployment is only structural.
 - D. low and consistent with a non-accelerating rate of inflation.
- 5 Which of the following is most likely to result from a depreciation in a nation's currency?
- A. Its imports become cheaper and its inflation decreases.
 - B. Its imports become more expensive and its inflation increases.
 - C. Its exports become cheaper and its inflation decreases.
 - D. Its exports become more expensive and its inflation increases.
- 6 Farmers purchase and trade permits for water use along a river.
- This is an example of environmental management through the use of
- A. targets.
 - B. regulations.
 - C. market-based policies.
 - D. international agreements.
- 7 An Australian company buys shares in a European bank to the value of \$1 million.
- Where would this be recorded on the Capital and Financial Account?
- A. Direct investment
 - B. Portfolio investment
 - C. Financial derivatives
 - D. Other investment

- 8 The diagram shows a shift in aggregate demand for an economy.



All other things being equal, which of the following factors is NOT likely to have caused this shift?

- A. An increase in exports
 - B. An increase in imports
 - C. A decrease in business investment
 - D. A decrease in government expenditure
- 9 Why might a government look to end a short-term wage subsidy?
- A. To expand the economy
 - B. To reduce the government budget deficit
 - C. To reduce the government budget surplus
 - D. To discourage employers from hiring new employees
- 10 A government denies a proposed merger between two airlines.

What is this an example of?

- A. Regulation being used to enhance competition in a factor market
- B. Regulation being used to enhance competition in a product market
- C. Deregulation being used to enhance competition in a factor market
- D. Deregulation being used to enhance competition in a product market

- 11** The table shows selected information for the balance of payments for a country with a floating exchange rate.

<i>Component</i>	<i>Amount</i> (\$ billion)
Net goods	80.5
Net services	10.2
Primary income	−63.8
Secondary income	−4.3
Capital account	−13.2
Financial account	−17.5
Net error and omissions	8.1

What is the balance on the Current Account?

- A. \$22.6 billion
 - B. −\$22.6 billion
 - C. \$30.7 billion
 - D. −\$30.7 billion
- 12** What would be the likely impact of a change in a goods and services tax (GST) from 10% to 15%?
- A. Decreased Gini coefficient and greater income equality
 - B. Decreased Gini coefficient and greater income inequality
 - C. Increased Gini coefficient and greater income equality
 - D. Increased Gini coefficient and greater income inequality
- 13** Which of the following is most likely to increase the labour force participation rate?
- A. A decrease in the tax-free threshold
 - B. An increase in the childcare subsidy
 - C. An increase in the highest marginal tax rate
 - D. An increase in the minimum school leaving age

- 14 Which row of the table shows the combination of shifts in the aggregate demand (AD) and aggregate supply (AS) curves that is most likely to lower gross domestic product (GDP)?

	<i>Shift in aggregate demand curve</i>	<i>Shift in aggregate supply curve</i>
A.	Right	Right
B.	Right	Left
C.	Left	Right
D.	Left	Left

- 15 Which of the following would most likely cause the non-accelerating inflation rate of unemployment (NAIRU) to fall?

- A. Increased interest rates
- B. Increased company tax rate
- C. Increased government spending on welfare payments
- D. Increased government spending on vocational training

- 16 In Year 1, four countries each had real GDP of \$20 billion.

The figures for Year 2 for each country are shown in the table.

	<i>Nominal GDP</i> (\$ billion)	<i>CPI</i>
Country A	18	90
Country B	22	110
Country C	23	118
Country D	27	130

Which country experienced negative economic growth in real terms in Year 2?

- A. Country A
- B. Country B
- C. Country C
- D. Country D

- 17 The table shows data for a three-sector economy.

<i>Year</i>	<i>Income (Y)</i> (\$ million)	<i>Consumption (C)</i> (\$ million)
1	2000	1600
2	2400	1920

What will be the level of income in Year 3 if investment falls by \$30 million?

- A. \$1970 million
B. \$2250 million
C. \$2370 million
D. \$2400 million
- 18 The table shows selected information for a hypothetical economy.

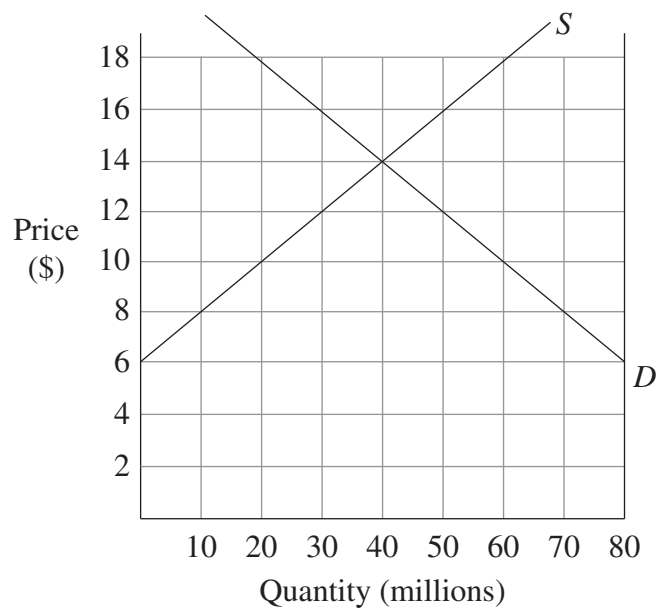
<i>Year</i>	<i>Export price index</i>	<i>Import price index</i>
1	100	100
2	115	105
3	110	85

Which row of the table below shows the change in terms of trade (ToT) from Year 2 to Year 3 and a corresponding possible reason for this change?

	<i>ToT</i>	<i>Reason</i>
A.	Improves	Reduction in foreign labour costs
B.	Improves	Increase in global demand for exports
C.	Deteriorates	Decrease in global demand for exports
D.	Deteriorates	Increase in the supply of foreign raw materials

Refer to the following diagram to answer Questions 19–20.

The diagram shows the market for a good in a particular economy.



This economy initially had a tariff of \$6 placed upon the world price of \$8 for this good.

The government has now reduced the tariff from \$6 to \$4.

- 19** All else remaining unchanged, what is the impact of this change in tariff on government revenue?
- A. Increase of \$80 million
 - B. Decrease of \$80 million
 - C. Increase of \$240 million
 - D. Decrease of \$240 million
- 20** All else remaining unchanged, by how much does the revenue of foreign producers of this good change as a result of this lower tariff?
- A. \$40 million
 - B. \$80 million
 - C. \$160 million
 - D. \$240 million

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Centre Number

Economics

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Student Number

Section II Answer Booklet

40 marks

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Instructions

- Write your Centre Number and Student Number at the top of this page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- Extra writing space is provided at the back of this booklet. If you use this space, clearly indicate which question you are answering.

Please turn over

Question 21 (10 marks)

- (a) Define the term *fiscal policy*.

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- (b) Explain a possible consequence of ONE method of financing a budget deficit.

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Name of method:

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Question 21 continues on page 11

Do NOT write in this area.

Question 21 (continued)

- (c) Explain the economic factors that have contributed to the Australian Government's current fiscal policy stance.

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End of Question 21

Question 22 (10 marks)

- (a) Using examples, distinguish between a *public good* and a *private good*. **2**

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- (b) Explain how the use of solar panels by households can create a positive externality. **3**

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Question 22 continues on page 13

Do NOT write in this area.

Question 22 (continued)

- (c) Explain how a government's objective of environmental sustainability may conflict with its other economic objectives.

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End of Question 22

Question 23 (10 marks)

- (a) Outline how the value of a currency is determined under a floating exchange rate system. **2**

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- (b) Explain the impact of an increase in a country's cash rate on its exchange rate. **3**

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Question 23 continues on page 15

Do NOT write in this area.

Question 23 (continued)

- (c) Explain likely changes to the structure of industry in Australia as a result of current trends in the global economy.

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End of Question 23

Question 24 (10 marks)

- (a) Consider an economy other than Australia.

Name of economy:

- (i) Explain ONE positive impact that trade has had on this economy.

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- (ii) Explain ONE negative impact that trade has had on this economy.

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Question 24 continues on page 17

Question 24 (continued)

- (b) A country has decided to increase its quota of imported beef.

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Discuss the likely impact of this increase on this country's economy.

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End of Question 24

Section II extra writing space

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Economics

Section III

20 marks

Attempt either Question 25 or Question 26

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - use the information provided
 - apply relevant economic terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Please turn over

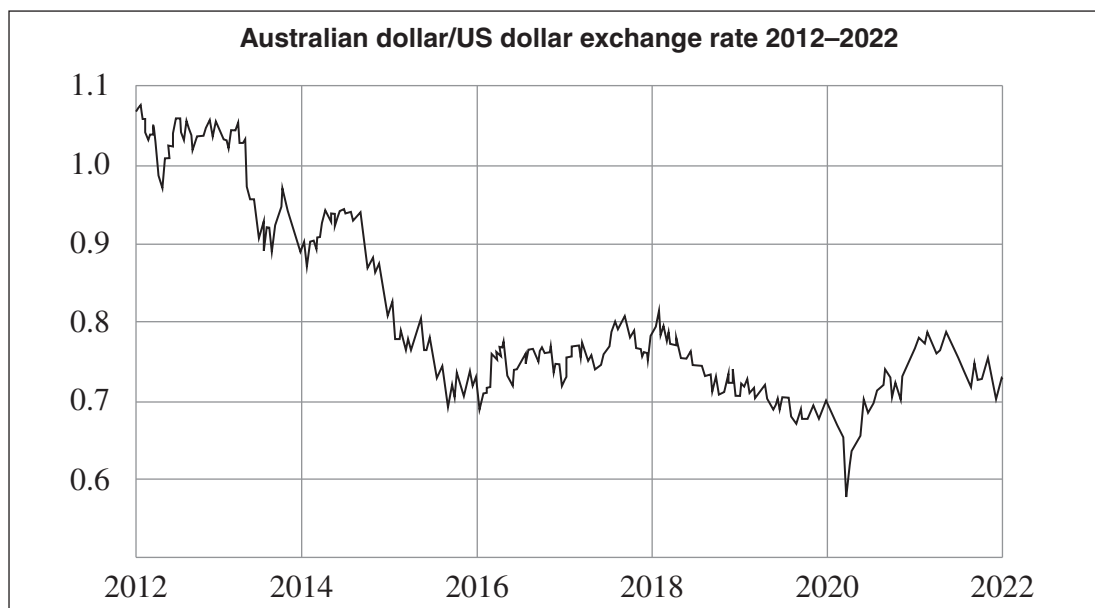
Question 25 (20 marks)

Analyse the impact of changes in the components of the balance of payments on the value of the Australian dollar. In your answer, refer to the information provided.

The current account surplus reached another record high in the March quarter 2021, driven by a record \$5.2 billion increase in the balance on goods and services surplus. Exports of goods and services rose \$7.8 billion (7 per cent), while imports of goods and services rose \$2.6 billion (3 per cent). The net primary income deficit rose by \$3.1 billion to \$6.0 billion in the March quarter 2021.

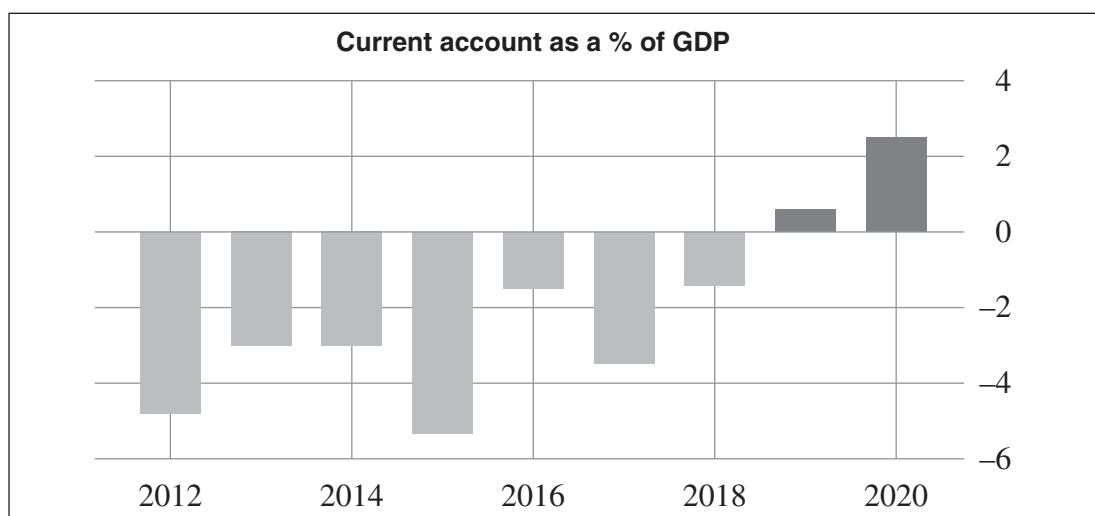
Australian Bureau of Statistics, 2021

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Australian Bureau of Statistics, 2022

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Reserve Bank of Australia

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OR

Question 26 (20 marks)

Analyse the impact of labour market policies on economic growth and the distribution of income and wealth in Australia. In your answer, refer to the information provided.

While aggregate wages growth has picked up recently, it has only returned to the low rates prevailing before the pandemic ... This partly reflects elements of Australia's wage-setting processes, which create inertia [lack of change] in aggregate wage outcomes. These processes include enterprise agreements that tend to only get renegotiated once every two to three years, the annual review of award wages by the Fair Work Commission and public sector wages policies.

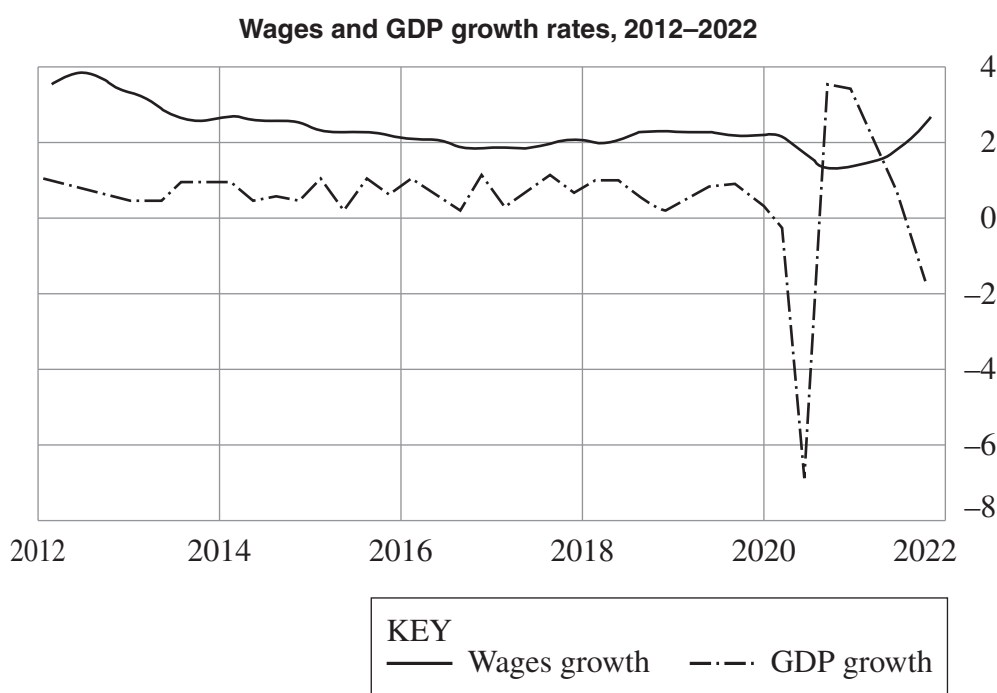
Speech delivered by Phillip Lowe, Governor, RBA, December 2021

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<i>Productivity</i>	2016–17	2017–18	2018–19	2019–20	2020–21
GDP per hour worked	0.8	0.2	–0.1	1.5	1.2
Gross value added per hour worked market sector	1.4	0.3	0.0	1.8	1.2
Real unit labour costs	–4.0	0.1	–0.7	–1.7	–2.9

Australian Bureau of Statistics, 2021

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Section IV

20 marks

Attempt either Question 27 or Question 28

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant economic information, terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Question 27 (20 marks)

Compare how inflation affects individuals, firms and government in Australia.

OR

Question 28 (20 marks)

Analyse reasons for the differences that exist between nations in terms of economic growth and development.

End of paper